



Indicators



Alert



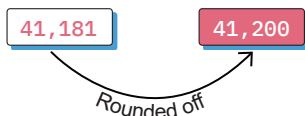
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FINDING THE BANK NIFTY SPOT

Once we have the Bank Nifty spot value, we round it off and select one Out-of-the-Money (OTM) call option and one OTM put option to sell.

For instance, if the spot value is 41,181, we round it to 41,200.



BANKNIFTY 41,300 CE

Therefore, we would look for a Bank Nifty 41,300 call (100 points OTM) and a Bank Nifty 41,100 put (100 points OTM).

BANKNIFTY 41,100 PE

Choosing OTM options reduces risk compared to the At-the-Money (ATM) options because OTM options decay faster than ATM options.

POSITIONAL SELLING AND STOPLOSS

This strategy involves selling one lot of OTM call and one lot of OTM put. It is important to note that this is a partially hedged system.



Simply put, a single-directional move can result in significant losses. To mitigate this risk, an initial stoploss is set at 90% of the premium for each leg.